

Vivo Telecom: Confidential information for ADS

You are a manager at Active Decision Systems (ADS). Currently, you are on your way to São Paulo to represent ADS in a negotiation with Vivo Telecom. The negotiation involves a technology licensing agreement for a billing system that ADS makes and installs. There has already been one round of negotiation between the two companies, resulting in a letter of intent. Top ADS management was unhappy with the stated terms. They relieved the lead negotiator and have brought you in to take over what could be an important deal. The rest of this document is to brief you on the situation.

Vivo Telecom is a top ten telecom company in Brazil, with annual revenues of about US\$1 billion. Vivo's present billing system is antiquated. The company sees getting a modern billing system up and running quickly as a key component in its ambitious expansion plans.

ADS is a U.S. company with revenues of about US\$250 million per year. In recent years, telecommunication billing systems have been one of ADS's hottest products. ADS is one of eight companies installing billing systems worldwide. Recent accounts in the financial press indicate that ADS is keen to establish a foothold in the South American region.

The letter of intent signed between ADS and Vivo essentially states where things stood at the end of the first round of negotiation. The two sides had agreed that the technology licensing price should be "around US\$32 million". This price reflected development, installation, and service fees. Installation was to be complete within 9 months of signing the contract.

A letter of intent acknowledges that two companies are serious about doing business with one another. It is not a contract and has no legal force. Top ADS management has complaints with the letter. The implied profit is low given the size of the undertaking. While a positive profit is sufficient to go ahead with this project, management would like you to do better if possible.

Keep the bigger prize in view. The market for billing and revenue-management systems has consolidated sharply, and winning a carrier's first install is now worth far more than the one-time fee: once Vivo runs its billing on ADS's platform, the cost for Vivo to switch later is enormous, which means years of follow-on services, upgrades, and pricing power flow to whoever lands this deal. This is exactly the South American foothold ADS management wants. That makes the install strategically valuable to ADS even at a slim margin — but it also means Vivo will push hard on terms that protect it against being locked in, and you should expect the issues below to come up.

Be aware of the issues that clients commonly raise in this type of negotiation. Vivo has not formally tabled all of them yet, but given the consolidation backdrop you should be ready:

1. **Source code.** Source code refers to the original programming developed by ADS. With access to it, the buyer can see and modify the "recipe" for the application. Handing it over gives the

client “the keys to the kingdom”: while the contract would forbid Vivo from using the code in its own products, there are many examples of software piracy resulting from this type of transfer. Two structures are possible, with very different cost to ADS:

- **Source-code escrow.** The code is held by a neutral third party and released to Vivo only on a defined trigger — ADS bankruptcy, abandonment of support, or failure to meet service commitments. This is the standard compromise in enterprise deals: it answers the client’s continuity worry and removes a common objection in the sales cycle without giving away the code up front. Because ADS keeps possession unless it actually fails to perform, the piracy risk is small. Escrow adds only about US\$2 million in NPV to ADS’s cost — and conceding it early can be a cheap way to build goodwill.
 - **Full source-code access.** Turning the code over directly is far costlier. Due to the piracy and lost-control risk, giving Vivo full access would add about US\$6 million in NPV to the cost of developing, installing, and servicing the software. Prefer escrow; treat full access as a real concession to be paid for.
2. **Software ownership.** With ownership come the intellectual property rights. Giving Vivo ownership would legally preclude ADS from selling the software to other telecoms, hampering ADS’s ability to compete in the wider South American region — the very region this deal is meant to open up. Bringing new customers on board would then entail additional development costs to produce a non-infringing product. The extra costs and lost revenue stream (on top of developing, installing, and servicing the software) are estimated at US\$16 million in NPV. This is your most expensive concession; guard it.
 3. **Covering lost revenue (delivery SLA).** Every new installation has its challenges, particularly when working for the first time in a new country, and you understand that late delivery causes Vivo lost revenue. Vivo may ask not for a flat penalty but for a service-level agreement: service credits scaled to any delay past 9 months. This actually works in your favor relative to an open-ended penalty — credits can be capped and tied to Vivo’s actual lost revenue, which keeps the remedy proportionate (and a credit calibrated to real damages is more enforceable than a punitive one). You are very confident you can finish in 9 months, and if late, by no more than a month or so. Overall, you estimate guaranteeing the delivery SLA would add only about US\$1 million in expected cost — a modest, often worthwhile chip to trade.

Top management is confident you will do better than the last team. An Excel profit worksheet accompanies this case; use it to evaluate proposals. On your worksheet, enter source-code escrow as the US\$2 million cost and full access as the US\$6 million cost; enter the ownership and delivery-SLA costs exactly as before.

This note was prepared as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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